STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	Case 19-G-0309
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.	Case 19-G-0310

INITIAL BRIEF OF AARP

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I. INTRODUCTION

AARP New York has 2.5 million members, more than seven hundred thousand of whom reside in the service territories of the Companies. AARP members are 50 and older and many are elderly and thus more susceptible to the pandemic. Others are on fixed incomes or work at businesses now virtually shuttered and already struggle to make ends meet. Accordingly, AARP is supportive of any positions taken by any parties in these proceedings that would improve, or at least not impair, the lives of its members. In particular, AARP agrees with the largely unrefuted testimony filed by the Public Utility Law Project of New York (PULP), the testimony of New York City (NYC) on KEDNY's low-income program discounts, and the use by Department of Public Service (DPS) Staff of the Generic Financing Methodology for determining the cost of capital and rate of return.

AARP supports these key recommendations of PULP:

- Two percent cap on residential bill increases.
- Allocation of 100% of all earnings greater than the rate of return on which KEDNY's rates are based to reduce deferred Site Investigation and Remediation (SIR) costs or, alternatively, in the absence of any "over earnings," a requirement that KEDNY's shareholders contribute to the payment of SIR costs (90% customers/10% shareholders).
- Requirement that KEDLI take vigorous steps to enroll more customers in its energy assistance program (EAP) by working to achieve the same file match scope as KEDNY's. (KEDLI has failed to enroll more than two-thirds of its eligible customers; KEDNY has enrolled 80-90 percent of its eligible customers.)
- Addition of one full-time equivalent (FTE) resource assigned to enrollment issues in KEDLI's low-income program.
- Accelerate the return to customers of excess unprotected Deferred Federal Income Taxes (EDFIT) such that all net benefits are returned during the rate plan resulting from these proceedings.
- Oppose generous Earnings Adjustment Mechanisms (EAMs) because there is no need to reward utilities for fulfilling their obligations.

- Oppose the Companies' proposed Affordability EAM because the Companies could achieve the target simply by terminating high bill customers.
- Terminate the requirement that KEDNY's residential customers must physically appear in person at customer service centers to provide evidence of their need for more affordable deferred payment agreement (DPA) terms.
- Requirement that the Companies create an online customer portal that would provide low-income and payment-troubled customers with robust bill transparency and the Companies the ability to more easily track social services payments, status of Home Energy Assistance Program (HEAP) applications, and progress of applications of customers who want their accounts coded as elderly, blind or disabled (EBD) and/or medical emergency status.
- Requirement that the Companies accelerate efforts by redeploying resources and using unspent moneys already provided to them by ratepayers to provide energy efficiency assistance to high-usage residential customers who are EAP participants, with any associated earnings incentive mechanisms associated with this goal to have set targets for incremental efficiency savings based on actual customer outcomes.
- Requirement that the Terminations and Uncollectibles EAM include an arrears component, as well as updating, as of the month before issuance of a rate order, the positive revenue adjustments (PRAs) targets and added negative revenue adjustments (NRAs).
- Requirement that the Companies and DPS facilitate Staff an all-parties collaborative during the Rate Year to explore and propose alternative residential rate designs for potential adoption in future rate plans.

Objective consideration of the issues raised by the parties in these cases is clouded by the knowledge that the record's factual and policy foundation is likely flawed, inaccurate, misleading and incomplete. The current personal, social and economic impacts of the pandemic in the service territories of KEDNY and KEDLI (collectively, the Companies) cannot be overstated. Mid-term economic projections are dire, with some economists predicting a downturn more severe than the 2007 recession. Long-term projections are less certain because

the length and depth of the pandemic is unknown. A pause in rate increases would allow the Commission the opportunity to evaluate more calmly steps that may be useful, such as the imposition of austerity measures, in recognition of this new environment. That is why AARP joined PULP in requesting the re-opening of these proceedings to include supplemental testimony on the effect of the pandemic. Establishing temporary rates subject to refund and reparation (see, Section 114 of the Public Service Law) is the appropriate course of action to take in these unsettling times.

IV. REVENUES

A. GAS SALES FORECAST

AARP respectfully requests the ALJs to include in their Recommended Decision (RD) a sales forecast based on the current environment. The RD should provide current sales data and assumptions.

V. EXPENSES

A. OPERATIONS AND MAINTENANCE

2. Customer Information System (CIS) Project: Enhancements

AARP agrees with PULP and DPS Staff that replacing the Companies' Legacy system warrants a separate petition filed with the Commission in the expectation that a full proceeding would better protect the interests of customers. Tr. 1571, lines 11-24. A separate proceeding would allow the parties to focus on designing a financially reasonable CIS upgrade that provides material benefits to customers. In the event the Commission approves in these proceedings changes to the CIS system, AARP supports PULP's proposal for the creation of a customer portal. A properly designed portal would make it easier for the customer to access billing and account statuses, thereby not only benefitting customers but also providing efficiencies for the Companies.

3. Site Investigation and Remediation

In its Order in Case 11-M-0034, the Commission stated that "sharing [of SIR costs] may be appropriate in specific cases, either to serve as an incentive where utilities have failed to adequately constrain SIR costs, or as part of multiyear rate plans incorporating excess earnings mechanisms." Tr. 3750, lines 13-19; Exhibit 506, page 12. AARP agrees with PULP that Order

11-M-0034 affords the Commission the ability to tailor allocation of cost responsibility to suit specific circumstances. Because costs associated with the cleanup of both the Gowanus Canal and Newtown Creek Superfund are expected to increase dramatically, AARP agrees with PULP that the Commission should allocate 100% of KEDNY's earnings greater than the rate of return on which KEDNY's rates are based to reduce deferred SIR costs or, alternatively, in the absence of any "over earnings," should require KEDNY's shareholders to contribute to the payment of the SIR costs.

AARP supports a cost responsibility allocation of 10% shareholders and 90% ratepayers of net SIR costs (exclusive of insurance recoveries and third-party contributions), with continued review of expenses in future rate proceedings and full recovery of prudently incurred and supported expenses. This is the optimal regulatory regime to encourage the expedient, cost-effective remediation of manufactured gas sites. This modest level of shareholder responsibility provides heightened scrutiny on the part of management while minimizing the potential for a negative reaction from investors. Sharing in this manner is, in effect, a proxy for the type of Commission oversight (for example, daily involvement) of SIR activities that is not possible or practical.

In addition to requiring management to heighten its focus on SIR costs, AARP's approach is equitable. Sharing between investors and ratepayers recognizes that few of today's captive ratepayers were alive when these sites operated and that current shareholders and society as a whole benefit from the legacy of economic development resulting from past manufactured gas operations. Further, all New Yorkers and utility investors benefit today from their remediation.

B. AMORTIZATION OF REGULATORY DEFERRALS

In light of the current crisis, AARP supports adjustments to amortization periods that would reduce rate increases in these proceedings.

E. AMORTIZATION OF EXCESS ACCUMULATED DEFERRED FEDERAL INCOME TAXES: TIMING OF AMORTIZATION/RETURN TO RATEPAYERS OF ANNUAL EXCESS DEFERRED (EDFIT) FOR UNPROTECTED PLANT AND NON-PLANT BALANCES

AARP agrees with PULP that the Commission should direct the Companies to accelerate the return to customers of excess unprotected ADFIT to accomplish the return to customers of all net

benefits during rate plans in these proceedings. Dampening rate increases is especially important while customers are experiencing economic distress.

F. AMORTIZATION OF EXPENSES

In light of the current crisis, AARP supports adjustments to amortization periods that would reduce rate increases in these proceedings.

VI. RATE BASE ISSUES

A. CAPITAL PROJECTS AND EXPENDITURES

With the changes occurring in the social and economic environment, AARP requests that the ALJs closely examine the proposed capital projects and make recommendations as to whether any projects should be deferred or modified. AARP believes that the current economic challenges means all such spending should be limited to that which is absolutely essential.

VII. FINANCIAL ISSUES

A. RETURN ON EQUITY

The Commission and DPS Staff have used the Generic Financing Methodology to determine the appropriate return on equity (ROE) for the better part of three decades. The Companies did not provide any compelling reason for the Commission to depart from its consistent practice. In light of the recent onset of a deep recession and dramatic changes in the stock and bond markets, AARP urges the ALJs to include in their RD an updated ROE using the Generic Financing Methodology. DPS Staff, for instance, mentioned forecasted inflation rates numerous times in its testimony (Tr. 1337; 3368-72; 3380; 3404; 3825; 3827).

VIII. REVENUE ALLOCATION AND RATE DESIGN

C. RATE DESIGN

AARP supports lower customer charges to encourage conservation and energy efficiency, but more importantly to allow customers to control their energy bills. AARP agrees with PULP that the Commission should direct DPS Staff and the Companies to facilitate an all-parties collaborative that would explore alternative rate designs. This multi-party collaborative would study and prepare a report upon the advisability of having the Companies adopt alternative residential class rate designs, the purpose of which would be to achieve greater affordability for all average and lower usage customers, including low-income customers, through the

implementation of rate designs that reward energy conservation and efficiency. Specifically, AARP urges a thorough review of the customer charges that are already too high. AARP supports customer charges which reflect metering and billing costs only. High customer charges make it more difficult for customers to control their bills.

The collaborative should also address DPS Staff's observation that high use customers may be in the wrong service class. Tr. 3248, lines 2-16. Average residential monthly usage is 118 therms; highest usage is 103,000 therms. Tr. 1270; Exhibit 626. Better understanding the type of customers in the class is important because of the disparate impact of different levels of customer charges on customers with widely different usage.

D. BILL IMPACTS

AARP urges the ALJs and the Commission to keep in prominent view the cumulative impact on residential customers' bills of all of the decisions in these proceedings. Decision-makers often focus on delivery increases and ignore higher bills caused by various surcharges, reconciliations and adjustments including in these proceedings SIR costs, financial expenses relating to the self-imposed moratorium on natural gas, and the Companies' ability to fully achieve the proposed Earnings Adjustment Mechanisms (EAMs). Moreover, as a recession grabs hold more tightly on the economies of the Companies' service territories, we join PULP in requesting the Commission to limit bill impacts in total, on the Average Usage Customers, to no more than two percent (2.0%) per rate year or lower if possible. As the Governor has indicated, the economy is on pause; now is not the time to be imposing rate increases

IX. GAS POLICY AND ENERGY EFFICIENCY

M. EARNINGS ADJUSTMENT MECHANISMS

AARP opposes EAMs because, as DPS Staff testified, the PSC has the statutory authority to direct utilities to engage in activities related to the provision of service without bonus or incentive mechanisms. Tr. 623, lines 10-13. Rewarding utilities financially is unnecessary and is an unreasonable use of ratepayer money. If, nevertheless, EAMs are included in the rate order, AARP urges the ALJs and the Commission to rigorously examine efforts and outcomes of the Companies, other New York utilities and utilities throughout the countries to ensure that the EAM targets are not easily achievable. Regarding the Companies' proposed Affordability EAM,

AARP agrees with DPS Staff (Tr. 632, lines 20-26) that the Companies could achieve the target simply by terminating high bill customers.

Q. CONSISTENCY OF RATE DESIGN AND REVENUE ALLOCATION WITH CLIMATE LEADERSHIP AND COMMUNITY PROTECTION ACT

Please refer to VIII (C), above.

XI. CUSTOMER SERVICE

B. TERMINATIONS/UNCOLLECTIBLE INCENTIVE MECHANISM

AARP supports PULP's proposal to modify the terminations/uncollectible incentive mechanism to include an arrears component, updated positive revenue adjustments (PRAs) targets and new negative revenue adjustments (NRAs). Both KEDNY and KEDLI have achieved a positive revenue adjustment for exceeding its respective targets in each of the years of current rate plans while also reducing the number of terminations well below the targets. It is poor practice to spend ratepayer money by setting goals that are easily achievable. KEDNY/KEDLI acknowledged that the data used in the calculation of the metric are more than a year old. Tr. 1267, lines 10-11 and 25. AARP agrees with PULP that the targets should be updated as of the month prior to the month in which a rate order in these proceedings is issued to ensure the accuracy of the metrics.

D. COLLECTIONS

1. Deferred Payment Agreements: Implementation of electronic DPAs and reporting requirement; KEDNY requirement for customer physical appearance at customer service center to demonstrate need for more affordable DPA terms;

AARP urges the ALJs to recommend to the Commission that it direct KEDNY to relieve its customers immediately of the burden of applying in person for what is termed an "affordable" deferred payment agreement (DPA). Customers facing termination are first offered what is known as a "standard" DPA. Tr. 1238, lines 3-6; 1239, lines 2-8. An "affordable" DPA option is discussed if a customer indicates that the standard DPA option is not affordable. Tr. 1239, lines 9-24. Obtaining an affordable DPA is contingent on completion of a financial statement form. Tr. 1239, lines 19-25; 1240, lines 1-6.

KEDNY and KEDLI use the exact same financial statement form but the completion process is different. KEDLI customers have the option to complete the form over the phone but KEDNY

customers are required to complete the form in person. Tr. 1240, lines 7-14; 1242, lines 6-9. This requirement unreasonably burdens KEDNY customers because KEDNY maintains only two office locations, with hours of operation limited to Mondays through Fridays from 8:15 to 5:00 p.m., among the boroughs of Queens, Staten Island and Brooklyn. Tr. 1241, lines 17-24. Seniors, the disabled, customers with young children and customers who work during the week are especially harmed by this requirement.

XII. LOW INCOME PROGRAM

A. CALCULATING DISCOUNTS AND ELIGIBILITY

AARP urges the ALJs to take to heart the decision of the Commission in Consolidated Edison's recent rate case and recommend modifying the Companies' low-income programs in the manner proposed by NYC in these proceedings. Increasing discounts for existing participants and adding new low-income customers to the programs are important steps towards achieving the Commission's six percent energy burden goal.

E. REQUEST FOR ADDITIONAL FULL-TIME EQUIVALENT EMPLOYEE FOR ENERGY ASSISTANCE PROGRAM PARTICIPATION

There is a critical need for a full-time equivalent (FTE) employee dedicated to increasing enrollment in KEDLI's low-income program. PULP's testimony, which DPS Staff and the Companies failed to rebut, showed that KEDLI has not enrolled more than two-thirds of the customers eligible to participate in its Energy Assistance Program (EAP). This is unacceptable. It is especially necessary during a recession for KEDLI to have sufficient staff dedicated to increasing program enrollment. The Companies request to add an FTE is helpful, but the refusal to commit the FTE to working solely on KEDLI's EAP should be rejected.

F. INCREASING EAP PARTICIPATION (KEDLI)

It is disappointing that DPS Staff and the Companies showed little interest in or knowledge of the design features of the EAPs or gave any attention to PULP's testimony on this issue. See, for example, Tr. 434-46; 1273-79; 1584-88. Neither the Companies nor DPS Staff challenged PULP's estimates that only 20-30% of potentially eligible KEDLI households are enrolled, compared to 70-90% for KEDNY. Tr. 1611, lines 19-23. DPS Staff did not review KEDLI's or KEDNY's enrollment data while preparing its testimony. Tr. 1584, lines 16-24; 1586, lines 6-9.

On re-direct (Tr. 1304-07), the Companies suggested that KEDNY's participation rates are higher than KEDLI's because it is easier to identify and enroll eligible customers in KEDNY's service territory than in KEDLI's service territory, but that no concrete steps have been taken to replicate KEDNY's file matching process in KEDLI's service territory. On cross-examination DPS Staff did not express any concern about KEDLI's participation level and offered no ideas about ways to increase participation. DPS Staff did not consider making any recommendations regarding outreach and education to increase KEDLI's participation level when developing its testimony. Tr. 1587, lines 14-17; 1588, line 19.

NYC's Human Resources Administration periodically computer matches a list of KEDNY customers with lists of people receiving a panoply of benefits such as the Supplemental Nutrition Assistance Program (SNAP) and Medicaid. This approach identifies a large percentage of eligible customers, who are then seamlessly enrolled in KEDNY's EAP. The county social service agencies in KEDLI's service territories do not do this. Instead, only HEAP recipients are identified and seamlessly enrolled. Because the federal government provides sufficient funding to provide HEAP benefits to only about one-third of heating customers who meet income-eligibility criteria, it is no surprise that KEDLI's participation rate is so low. Neither the Companies nor DPS Staff indicated they had concrete plans to work expeditiously with county social service agencies to implement a matching protocol like HRA's.

KEDLI's participation level is unacceptable, even more so during a recession, and completely undermines the Commission's six percent energy burden goal. AARP urges the ALJs to recommend to the Commission that it direct the Companies and DPS Staff to work with the county social service agencies to implement a computer match process similar to the one used by KEDNY and HRA within the next six months.

XIX. CONCLUSION

AARP respectfully requests the ALJs and the Commission to (1) take steps to update key elements of the record affected by the social and economic changes resulting from the COVID-19 pandemic; (2) develop and establish a temporary rate plan pursuant to Section 114 of the Public Service Law, which would include (a) a total residential bill increase no greater than two percent or lower, (b) service charges and blocks consistent with energy conservation and efficiency as well as customer control of their bills, and (c) changes to the Companies' low-

income programs as proposed by NYC; and (3) direct the Companies and DPS Staff to implement the other proposals discussed above.

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Respectfully submitted,

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